

RAP 307 Purchase Orders

From Rovipedia, the RoviSys encyclopedia

Approved

Purpose

This document defines the RoviSys standard procedure for purchasing equipment, licenses, or outside services on customer or administrative/internal projects.

Types of Purchase Orders

- *Internal Use Purchases* – These are types of purchases that will not be delivered to a customer and will remain in RoviSys' possession for general use. These purchases should be written against the appropriate internal project (ADMIN, Network2000, RAC, Sales, etc). These may include tools (software, equipment, cables, etc).
- *Customer Project Purchases* – These types of purchases will be delivered to a customer or used exclusively for a customer project (even if remaining in RoviSys' possession upon project completion). These purchases are written against the corresponding customer project. These purchases may include equipment, software licenses, performance bonds, rentals (e.g. temporary licenses, construction trailers, fork lifts, etc), and outside services (i.e. sub-contractor purchases). Outside purchases for projects should never exceed the value for outside purchases authorized by the customer's purchase order to RoviSys. When outside purchases to complete a project will exceed those authorized by the initial client order, a change order must be submitted to and approved by the client prior to RoviSys' procurement of the additional outside purchases. In the rare event that a change order is not possible, the authorizer must detail the reason in the Authorization or Rejection Comment: area in GrandView and notify the CFO and Presidents immediately in writing.

Purchase Order Requirement

Whenever equipment, material, or services are ordered for RoviSys, by any means, they must always have an electronically approved and authorized Purchase Order via GrandView. A new quote from the vendor is required for every order with the exception of recurring purchases such as office supplies, landscaping etc. Please upload the quote to the PO file in Grandview.

Credit Card Purchases

Purchasing with the RoviSys American Express card should not be used for the convenience of placing an order. The company American Express card should only be used in situations such as buying a one time purchase or an emergency. Utilize our existing vendors whenever possible.

You should complete a Purchase Order and select American Express in the terms field of the PO header. The PO must be approved and authorized by the appropriate parties. A copy of the PO should be printed and given to Accounts Payable for use in reconciling the Amex invoice. Call Accounts Payable for the credit card information. The information should not be saved anywhere.

Internet Orders

When ordering over the internet, a valid receipt needs to be included with any items purchased. A valid license must also be included for software purchases. If software is downloaded over the internet, a valid license and receipt must still be obtained.

Sales and Use Tax

Purchases that are intended for “internal use”, should include sales tax to RoviSys if possible. These types of purchases are most often made on internal projects, but may also occur on a customer project (i.e. software/hardware purchased to complete a project where the license/ownership is not transferred to the customer). Purchases that are not able to be taxed by the vendor in these instances need to be flagged as taxable so that we may file use tax returns.

Purchase Order Terms

- We typically agree to Net 30 day terms with vendors which means we will pay the vendor the net invoice amount 30 days after we receive the invoice. For large purchases where the customer has extended payment terms beyond Net 30, we should try to negotiate similar payment terms with vendors.
- To establish a threshold. If the purchase exceeds \$25,000 **or the vendor we are procuring from exceeds**, or may exceed \$50,000 annually, please contact the approving buyer to negotiate longer buying terms. Most companies are very resistant to Net 45 or Net 60 unless there is a larger opportunity. We value our vendor relationships as they can also provide us opportunities for our future. The buyer is the Authorization person as to whom the PO is directed, or the managing PM who is approving.
- Ship via “Best Way” in terms of economy, delivery time, and the risk of loss or damage is usually the preferred shipping method.
- "FOB destination" which designates the seller will pay shipping costs and remain responsible for the goods until the buyer takes possession is preferred. "FOB source" which indicates the buyer pays shipping cost and takes responsibility for the goods when the goods leave the seller's premises is less preferred.

Sub-Contractor Purchases

On subcontractor Purchase Orders, the subcontractor must have a completed subcontractor agreement in place before issuing the Purchase Order. See [RAP 404](#) for more information.

Purchase Order Workflow – See [GrandView Purchasing Approval Process](#) for specific instructions.

1. Requisitioner creates and submits a new Purchase Order in GrandView.
2. Project Manager or designee reviews and approves Purchase Order.
3. Purchase Order authorization must be completed by the appropriate company representative based on the Purchase Order Authorization Requirements defined in the following section.
4. Once the Purchase Order is authorized, the sender indicated on the Purchase Order should send it to the vendor and mark it as sent in GrandView.
If IT is marked as the sender and is therefore placing your order, please attach the authorized and approved PO to your Quote Request ticket, if you do not have a quote request please create one with all of the necessary information that IT needs to order the item (quote number, people worked with etc.) This is all done through the helpdesk at <http://helpdesk.rovisys.com/>
5. When equipment is received, it must be logged into GrandView and the packing list imaged and added to the Purchase Order files. See [RAP 311](#) for specific details regarding receiving.
6. Vendor invoices should be sent to the RoviSys Accounts Payable (Payables@rovisys.com or Payables@rovisysbt for RBT invoices) as well as the RoviSys Project Manager.
7. Once Accounts Payable (AP) receives the vendor invoice, it's entered into the accounting system. AP verifies a three-way match between the invoice amount, Purchase Order, and received amount (per line). If all three match, the invoice can be paid. If the invoice is for a progress payment from a subcontractor, the Project Manager's written approval to pay is required. Payment for the invoice is issued via check or ACH and the payment is applied to the Purchase Order in GrandView.
8. Receiving and Accounts Payable have the ability to make minor adjustments to Purchase Order line items in GrandView. However, if a significant change on the Purchase Order is necessary (i.e. new line items,

additional quantities, wrong project/vendor, etc.), a new revision will need to be created for the existing Purchase Order. New Purchase Order revisions are required to go through the same workflow as new Purchase Orders.

Purchase Order Authorization Requirements

The following limits apply for Customer Project Purchases when the total for all outside purchases on the project does not exceed the amount authorized by the customer's purchase order to RoviSys. The limits apply to the total value of the Purchase Order at the time that it is being submitted.

- \$0 - \$100,000 may be authorized by Group Managers, Directors, Regional Managers, Regional Vice Presidents, CFO, Presidents
- \$100,000 – \$500,000 may be authorized by Directors, Regional Managers, Regional Vice Presidents, CFO, Presidents
- \$500,000 - \$1,000,000 may be authorized by Regional Vice Presidents, CFO, Presidents
- \$1,000,000+ must be authorized by the CFO, Presidents or CEO

The following limits apply for Internal Use Purchases.

- \$0 - \$5,000 may be authorized by Group Managers, Directors, Regional Managers, Regional Vice Presidents, CFO, Presidents
- \$5,001 – \$10,000 may be authorized by Directors, Regional Managers, Regional Vice Presidents, CFO, Presidents
- \$10,001 - \$25,000 - may be authorized by Regional Vice Presidents, CFO, Presidents
- \$25,000+ - must be authorized by CFO, Presidents, or CEO

Authorizations may not be executed by the purchaser or the approver.

RoviSys Asia procedure

Please follow the procedures outlined in the following document:

[RoviSys Asia - RAP 307 PURCHASE ORDERS](#)

[RBT USA and Netherlands - RAP 307 Purchase](#)

Page History

Revision	Action/Comment	Date	User
r42 (this)	Approve	19-Jul-2023 6:24 UTC	Daniel Hickey
r42 (this)	Create/Edit <i>Typo fix</i>	18-Jul-2023 7:17 UTC	Beverly Kiglics
r41	Create/Edit <i>Inserted step 7 in PO Workflow sectio...</i>	18-Jul-2023 7:07 UTC	Beverly Kiglics
r40	Approve	20-Oct-2022 3:22 UTC	Joshua Hilewick
r40	Create/Edit <i>clarification that the limits for aut...</i>	7-Oct-2022 8:39 UTC	Matt Knott
r39	Approve	1-Dec-2021 10:51 UTC	Jeff Marshall
r39	Create/Edit <i>Added link for RBT RAP</i>	14-Oct-2021 12:50 UTC	Ty Rinholm
r38	Approve	22-Feb-2021 8:20 UTC	Kevin McFeaters
r37	Approve	23-Nov-2020 9:37 UTC	Pete Madonia
r38	Approve	23-Nov-2020 9:36 UTC	Pete Madonia
r38	Create/Edit <i>Update getting quotes for orders and...</i>	16-Nov-2020 9:27 UTC	Stephanie Smiciklas
r37	Create/Edit <i>Update RAP 307 - Singapore address to...</i>	4-May-2020 6:20 UTC	Trung Ha Nguyen Vu
r36	Create/Edit <i>Update RAP 307 - Singapore address to...</i>	4-May-2020 6:19 UTC	Trung Ha Nguyen Vu
r35	Approve	20-Feb-2020 5:51 UTC	Jeff Marshall
r35	Create/Edit <i>update</i>	23-Jan-2020 2:36 UTC	Joe Maukonen
r34	Approve	16-Jan-2019 11:04 UTC	Jeff Marshall
r34	Create/Edit <i>Formatting Changes</i>	28-Nov-2018 9:20 UTC	Martin Gonzalez
r33	Create/Edit <i>Typo</i>	2-Nov-2018 9:38 UTC	Chris Engelmann
r32	Create/Edit <i>PECL-Removed printing and "Confirmat...</i>	11-Sep-2018 4:58 UTC	Dave Hermann
r31	Approve	26-Mar-2018 12:57 UTC	Pete Madonia
r31	Create/Edit <i>Update Accounts Payable info</i>	8-Mar-2018 3:04 UTC	Stephanie Smiciklas

Revision	Action/Comment	Date	User
r30	Approve	4-Oct-2017 4:13 UTC	Jeff Marshall
r30	Create/Edit <i>Changed Controller to CFO title</i>	21-Aug-2017 1:32 UTC	Pete Madonia
r29	Create/Edit <i>Changed Controller to CFO title</i>	21-Aug-2017 1:31 UTC	Pete Madonia
r28	Approve	24-May-2017 1:30 UTC	Jeff Marshall
r28	Create/Edit <i>Updates for responsible manager.</i>	3-May-2017 6:18 UTC	Paul Bodmann
r27	Approve	2-Feb-2017 2:37 UTC	Pete Madonia
r27	Create/Edit <i>Added outside services as a type of p...</i>	25-Jan-2017 7:33 UTC	Matt Knott
r26	Approve	25-Jan-2017 5:06 UTC	Mike Barwacz
r26	Create/Edit <i>Revised threshold approval table for...</i>	25-Jan-2017 4:53 UTC	Greg Rogers
r25	Approve	24-Aug-2015 3:09 UTC	John Turk
r25	Create/Edit <i>Establishing a threshold</i>	12-Mar-2015 3:32 UTC	Steve Muenstermann
r24	Approve	22-Jan-2015 1:32 UTC	Pete Madonia
r24	Create/Edit <i>Added IT section under 4. to clarify...</i>	31-Oct-2014 1:56 UTC	Don Williams
r23	Approve	18-Aug-2014 1:51 UTC	Chris Engelmann
r23	Create/Edit <i>Updated for RoviSys Asia RAP. (BDH)</i>	18-Aug-2014 8:36 UTC	Bill Hurder
r22	Create/Edit <i>Updated for Singapore RAP</i>	18-Aug-2014 8:33 UTC	Bill Hurder
r21	Create/Edit <i>Included Singaporea RAP. (BDH)</i>	18-Aug-2014 8:32 UTC	Bill Hurder
r20	Create/Edit <i>Included Singapore RAP. (BDH)</i>	18-Aug-2014 8:31 UTC	Bill Hurder
r19	Create/Edit <i>Updated for Singapore RAP. BDH</i>	18-Aug-2014 8:30 UTC	Bill Hurder
r18	Create/Edit <i>Added Singapore Revision. BDH</i>	18-Aug-2014 8:29 UTC	Bill Hurder
r17	Approve	5-Jun-2014 6:35 UTC	Pete Madonia
r17	Create/Edit <i>Clarified internal use vs customer pu...</i>	28-May-2014 1:54 UTC	Jeff Marshall
r16	Create/Edit <i>Updated based on feedback</i>	20-May-2014 7:41 UTC	Chris Engelmann
r15	Create/Edit <i>Updated "administrative/internal", an...</i>	19-May-2014 1:59 UTC	Chris Phillips

Revision	Action/Comment	Date	User
r14	Create/Edit <i>Add link to GrandView Purchasing Appr...</i>	15-May-2014 6:39 UTC	Chris Engelmann
r13	Create/Edit <i>Updated purchasing workflow for elect...</i>	15-May-2014 5:31 UTC	Chris Engelmann
r12	Create/Edit <i>Add Amex instructions</i>	14-Feb-2014 6:02 UTC	Pete Madonia
r11	Approve	10-Jan-2014 5:14 UTC	Jeff Marshall
r11	Create/Edit <i>TEMPLATE roll-out</i>	9-Jan-2014 9:08 UTC	Austin Kelleher
r10	Approve	6-Jan-2014 2:37 UTC	Pete Madonia
r9	Approve	6-Jan-2014 2:37 UTC	Pete Madonia
r10	Create/Edit <i>Add tag</i>	18-Dec-2013 9:47 UTC	Chris Engelmann
r9	Create/Edit <i>added 'ordering' tag for faster searc...</i>	13-Dec-2013 3:33 UTC	Joshua Hilewick
r8	Approve	10-Jul-2013 5:21 UTC	Pete Madonia
r8	Create/Edit <i>Revised item 5 to include Regional Di...</i>	10-Jul-2013 4:41 UTC	Chris Otto
r7	Approve	10-Jan-2013 4:05 UTC	Jeff Marshall
r7	Create/Edit <i>Fixed tags</i>	10-Jan-2013 12:23 UTC	Dave Hermann
r6	Approve	17-Aug-2012 3:27 UTC	Pete Madonia
r6	Create/Edit <i>Some grammatical and capitalization c...</i>	30-May-2012 4:31 UTC	Ruoth, Joel
r5	Approve	25-Aug-2011 1:02 UTC	Pete Madonia
r5	Create/Edit <i>Fixed capitalization and typo</i>	23-Aug-2011 2:16 UTC	Jeff Marshall
r4	Approve	7-Mar-2011 2:17 UTC	John Turk
r4	Create/Edit <i>Imported rev. e of RAP into RoviPedia</i>	2-Sep-2010 7:14 UTC	Tom Grulkowski
r3	Create/Edit <i>updated tags</i>	27-Aug-2010 2:10 UTC	Haren, Michael
r2	Create/Edit <i>updated tags</i>	27-Aug-2010 3:51 UTC	Haren, Michael
r1	Create/Edit <i>Initial revision</i>	26-Aug-2010 1:16 UTC	Xander Dumaine

Note: This is a snapshot of a living document. Please check online for the latest revision.

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